IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.10/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
NAVA NIRMAN-VLN PRABUDDHALAYA & AYURDHAM PRIVATE LIMITED
AND
NIRMAN SHELTERS (BANGALORE) PRIVATE LIMITED
Order delivered on:22nd March, 2018

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) Mr.Saji.P.John
Advocate
Unit No.1002, 10th Floor,
#30, Prestige Meridian II,
Bengaluru-560001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 13.3.2018

ORDER

This is a Joint Application filed by the applicant companies namely Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Applicant Company No.1/ Transferee Company) and Nirman Shelters (Bangalore) Private Limited (Applicant Company No.2/ Transferor Company) under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.1 & 2 for considering the scheme of Arrangement of Nirman Shelters (Bangalore) Private Limited (Transferor Company) and Nava Nirman-VLN Prabhuddhalaya & Ayurvedham Private Limited (Transferee Company). The Scheme of Arrangement is shown as **Annexure-F**.

The averments made in the Company Application are briefly described hereunder:-

The Applicants seek an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies No.1 & 2 for considering the scheme of Arrangement of Nirman Shelters (Bangalore) Private Limited (Transferor Company) and Nava Nirman-VLN Prabhuddhalaya & Ayurvedham

Private Limited (Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-F**.

This Application is filed on behalf of the applicant companies stating that the Applicant Company No.1/ Transferee Company was incorporated on 9th February, 2017 under the name and style of Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited with Registrar of Companies, Karnataka having CIN No.U74999KA2017PTC100383. The Registered office of the Transferee Company is situated at No.748A, Nisarga Layout, Bannerghatta Post, Jigani Hobli, Bengaluru-560083.

The main objects of the Applicant Company No.1/Transferee Company is to carry on the business of purchase, sale, construct, develop, hire, lease, construct, maintain, establish, running and managing of service oriented senior citizens homes on commercial basis for old age people with combination of different facilities including shelter, food, medical facilities and recreation either on own account or through franchisee or other models and to provide consultancy, advisory, training, manage and turnaround for other similar businesses. The copy of Memorandum and Articles of Association of the Transferor Company is shown as **Annexure-A**.

The latest authorised share capital of the Applicant Company No.1/Transferee Company is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferee Company is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-B**.

It is further stated that Applicant Company No.2/ Transferor Company was incorporated on 6th March, 1995 under the name and style of Nirman Shelters (Bangalore) Private Limited with Registrar of Companies, Karnataka vide CIN No.U85110KA1995PTC017321. The Registered office of the Transferor Company is situated at No.36/2, 1st Floor, Patalamma Temple Street near South End Circle, Basavangudi, Bengaluru-560004.

The main objects of the Transferor Company is to carry on the business of purchase, sale, contract, develop, hire, lease, construct, maintain, establish, running and managing of service oriented senior citizens homes on commercial basis for old age people, with combination of different facilities including shelter, food, medical facilities and recreation either on own account or through franchise or other models and to provide consulting,

advisory, training, manage and turnaround for other similar businesses. The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-C.**

The latest authorised capital of the Transferor Company is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.20,48,000/- divided into 2,04,800 equity shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-D.**

It is further stated that, the Board of Directors of the Transferor Company and Transferee Company have approved and adopted a Scheme of Arrangement at their meetings held on 29th January, 2018 respectively of Nirman Shelters (Bangalore) Private Limited (Applicant Company No.2/Transferor Company) with Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Applicant Company No.1/ Transferee Company). Copies of the Board Resolution of Transferor and Transferee Company dated 29th January, 2017 approving and adopting the Scheme of Arrangement are shown as **Annexure-E series**.

It is further averred in the scheme that the Board of Directors of the Transferor Company and Transferee Company are of the opinion that the arrangement would result in following benefits:

1. Greater strategic focus on representative undertakings 9Demerged Undertaking and Residual Undertaking).

2. Separate dedicated management to ensure appropriate nurturing and development of each of the undertakings.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferee Company has certified that there are two equity shareholders as on 31st January, 2018 of the Applicant Company No.1/ Transferee Company is shown as **Annexure-G.**

It is further stated that there are no Secured Creditors in the Applicant Company No.1/ Transferee Company as certified by the Chartered Accountant shown as **Annexure-J.**

It is further stated that there are no Unsecured Creditors in the Applicant Company No.1/ Transferee Company as certified by the Chartered Accountant shown as **Annexure-J.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Company

has certified that there are two equity shareholders as on 31st January, 2018 of the Applicant Company No.1/ Transferor Company is shown as **Annexure-H.**

It is further stated that there are four Secured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-K.**

It is further stated that there are no Unsecured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-L.**

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.1/Transferee Company shown as **Annexure-G series** i.e., (i) Venkatappa Lakshminarayan holding 9,999 equity shares, constituting 99.99% of the paid-up capital,(ii) Sushma Murthy holding 1 equity share, constituting 0.01% of the paid-up capital.

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.2/Transferor Company shown as **Annexure-H series** i.e., (i) Venkatappa Lakshminarayan holding 2,04,790 equity shares, constituting 99.99% of the paid-up capital,(ii) S.M.Patil holding 10 equity shares, constituting 0.01% of the paid-up capital.

It is stated that, the value of amounts due to Secured creditors of the Applicant Company No.2/ Transferor Company is Rs.1,64,12,001/- and 99.96% of the Secured creditors representing value of Rs.1,64,06,002/- have given their consent to the Scheme. We have seen consent affidavits issued by the Secured Creditors shown as **Annexure-K series.**

The Applicant Companies are seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies on the ground that, there are two Equity shareholders, No Secured Creditors and No Unsecured Creditors in Applicant Company No.1 and two Equity Shareholders, four Secured Creditors and no Unsecured Creditors in Applicant Company No.2 and all the Equity shareholders of the Applicant Company No.1 and all the Equity shareholders and 99.96% value of Secured Creditors of Applicant Company No.2 have given their consent by way of affidavits for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Companies. The Application is filed by the Applicant Companies which is a Transferee Company and Transferor Company for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for approving the Scheme of Arrangement of Nava Nirman-VLN Prabuddhalaya & Ayurdham Private Limited (Applicant

Company No.1/ Transferee Company) and Nirman Shelters (Bangalore) Private Limited (Applicant Company No.2/ Transferor Company) in terms of Scheme of Amalgamation shown as **Annexure-F**.

In the result, the application is allowed and holding of meeting of the Equity Shareholders of the Applicant Companies and Secured Creditors of Applicant Company No.2 is dispensed with. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

22/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL